Alternatively, the Simple MOM portfolio yielded 25.70 percent and 144.85 percent over the same time period!

Fast forward to the bursting of the Internet bubble in 2000 and 2001.

The Simple Value strategy outperforms, by earning 31.13 percent and 10.15 percent in 2000 and 2001, while the S&P 500 earned –8.34 percent and –11.88 percent, and the Simple MOM earned –19.44 percent and –8.79 percent.

The Internet bubble provides one small example to justify the 50/50 allocation between value and momentum. We think this simple 50/50 allocation is a sensible way to invest and with a little effort, a DIY investor can employ value and momentum security selection to their advantage.

International Stocks

As was shown above, combining Value and Momentum strategies has worked well for stocks in the United States. But how do similar strategies work for international stocks? We test the following strategy from January 1, 1992, through December 31, 2014: We form portfolios of firms above the NYSE 40th percentile for market capitalization in United States dollars. We limit stocks to those from EAFE countries, as this is representative of developed international stock markets. The Simple International Value portfolio is formed on January 1 of year *t* and held until December 31 of year *t*. This portfolio is an equal-weight portfolio of the top decile of firms formed on EBIT/TEV. The Simple International MOM portfolio is formed at a monthly frequency. The assumption is to buy at the close on the last day of the month, and hold until the close of the last day of the month. This portfolio is formed by buying the top decile of firms formed on their cumulative returns over the past 12 months, ignoring the last month.

We also show the returns to a portfolio, which allocates 50 percent to Simple International Value, and 50 percent to Simple International MOM. The assumption is that the allocation between the Value and Momentum portfolios is reset to 50/50 at the end of each month. Table 8.9 shows the returns for the portfolios described.